

Tax Projection

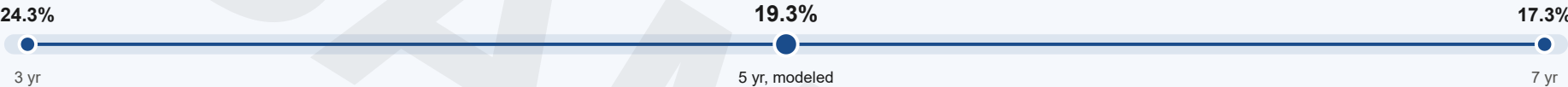
Cedar Ridge MHP - Stabilized Acquisition (SHOWCASE)

Illustrative sample prepared by CREDevSim to demonstrate the Deal Tax Projection deliverable. Federal tax law in effect on 2026-09-18. Property placed in service 06/2025. · Generated 2026-09-18 14:02

After tax, the LPs keep **19.3% IRR** and **2.20x** with no LP tax due in any year of the 5-year hold. The entire bill lands once, at sale.

AFTER-TAX LP IRR 19.3% 4.4 pts drag from the 23.7% pre-tax IRR	AFTER-TAX LP EQUITY MULTIPLE 2.20x against 2.61x pre-tax · \$1.785M of after-tax profit on \$1.492M invested	LP TAX DURING THE HOLD \$0 in every one of the 5 operating years. \$469 is what produces it: the depreciation loss is suspended rather than used, and that bank is released against the exit tax (Section 1).
SHELTER \$1.733M short-life basis 100% bonus at placed-in-service. \$469 banks the LP's operating losses through the hold; \$851K is still suspended at sale and frees then. The 55% short-life share is a rule-of-thumb assumption for this asset type, not an engineering cost segregation study.	TAX AT SALE, LP SHARE \$966K \$627K recapture + \$339K capital gain, at the LP share. Net of the \$469(g) release the LPs bear \$618K, or 26% of the \$2.404M pre-tax LP profit. (Section 3)	THE DECISION +73 bps of after-tax LP IRR: 19.3% with cost segregation against 18.6% straight-line. A study can cost up to \$43.7K and still pay, for the modeled passive LP (Section 2).

After-tax LP IRR by exit year. Sale price, debt, depreciation method and tax rates held constant; only the exit timing moves.



What moves this: the bonus rate for the placed-in-service year, how long the asset is held, and whether the sale is taxable or exchanged. Compare the after-tax IRR only against other after-tax returns, never against a pre-tax IRR.

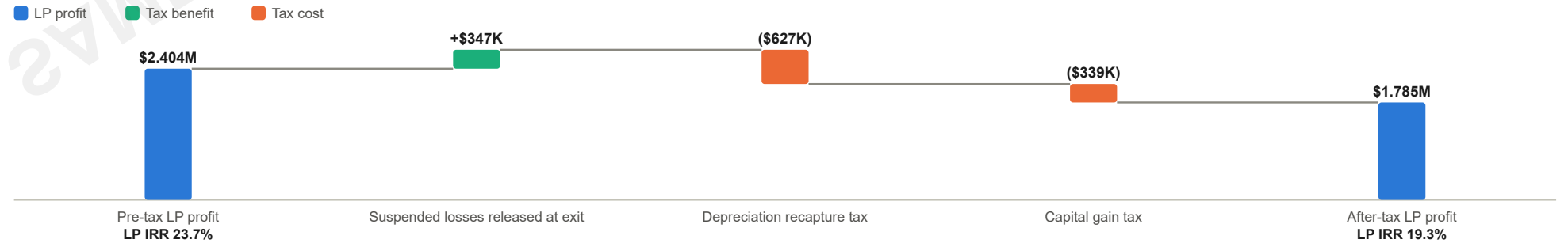
Modeled investor: passive LP under §469; federal 37% ordinary, 25% unrecaptured §1250, 20% capital gain, plus 3.8% NIIT, and no state income tax — Texas (TX). Depreciation: 100% bonus on the 55% short-life basis, the rest straight-line over 27.5 years. The 100% rate assumes the property was acquired after 2025-01-19.

WHAT FOLLOWS, AND WHAT EACH SECTION DECIDES	
1 After-tax return matrix	23.7% pre-tax to 19.3% after-tax
2 Cost segregation screening	\$43.7K study-fee breakeven
3 Exit tax map	\$966K LP share, 31.2% blended on gain
4 1031 exchange vs taxable sale	\$618K net if sold, or \$0 if exchanged

1 AFTER-TAX RETURN MATRIX

LP figures are modeled after-tax at the asset level, not individualized per K-1: operating tax, released losses and recapture follow the LP share of contributed equity (71.4%), capital gain follows the LP share of exit profit (81.3%). The two differ because the waterfall is not pro-rata: the preferred return is paid to the LPs ahead of the GP's promote, which lifts the LP share of exit profit above the LP share of contributed dollars. That profit share is what the distribution waterfall pays the LPs, so the GP's share of profit, including any promote, is already excluded from every LP figure. §1061 (carried interest) applies only to the GP's promote, and generally not to gain from a sale of the property itself, which is §1231 gain its regulations exclude (Treas. Reg. §1.1061-4(b)(7)). GP returns are in the Deal Summary.

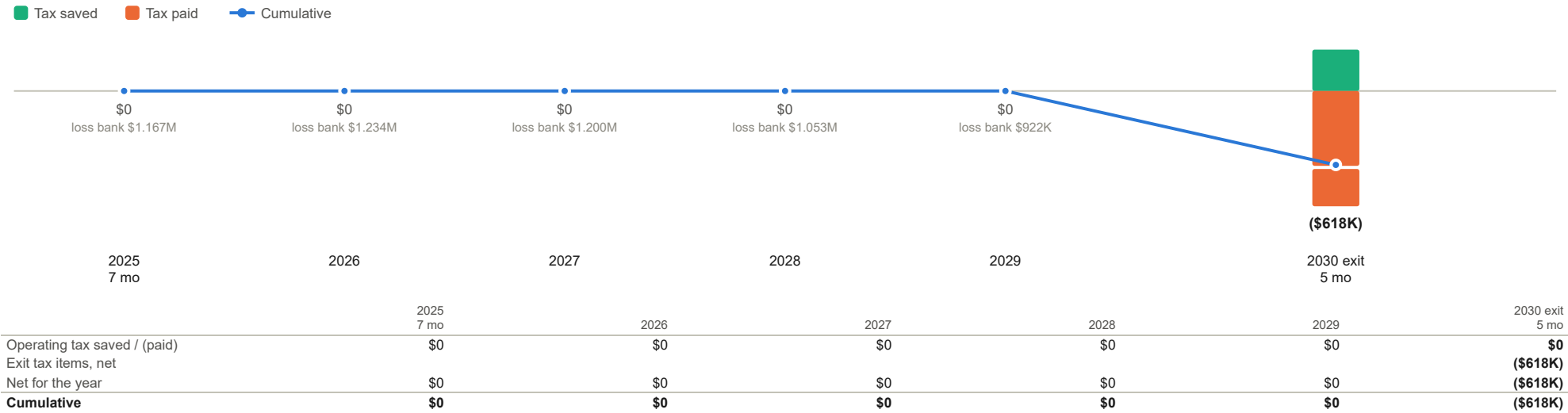
Where the pre-tax LP profit goes: pre-tax to after-tax, in dollars



	Whole deal	LP share	LP amount
Pre-tax LP profit			\$2.404M
Suspended losses released at exit	+\$486K	71.4%	+\$347K
Depreciation recapture tax	(\$878K)	71.4%	(\$627K)
Capital gain tax	(\$417K)	81.3%	(\$339K)
After-tax LP profit			\$1.785M

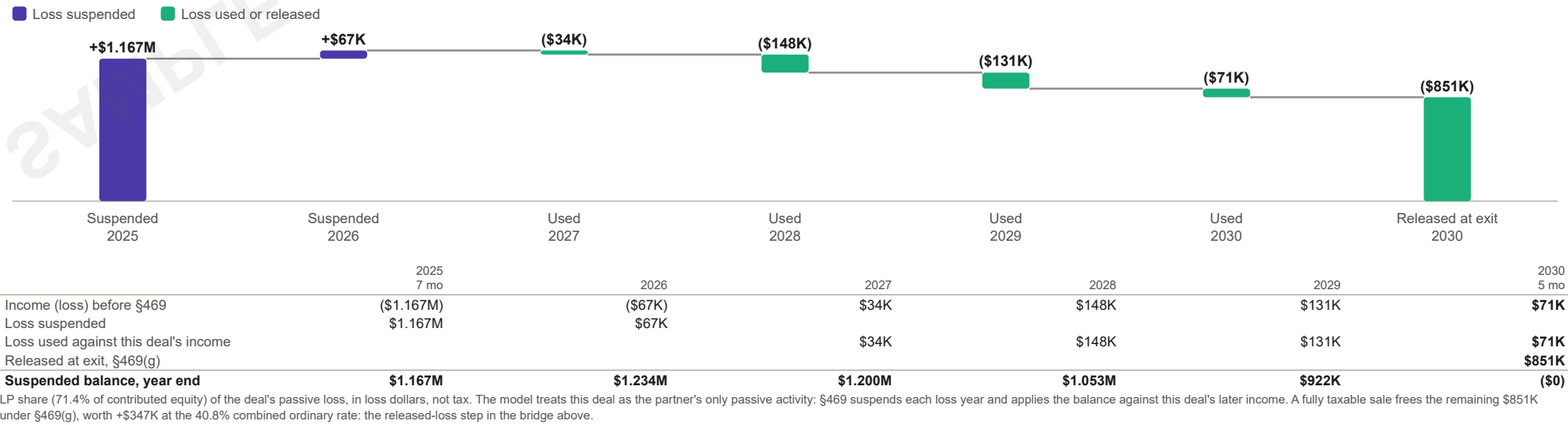
Recapture and capital gain tax are the whole-deal totals in the Exit Tax Map. LP share: operating tax, released losses, recapture and boot at the LP share of contributed equity (71.4%); capital gain tax at the LP share of exit profit (81.3%). The LP amounts foot to the after-tax LP profit behind the after-tax IRR above. Shown in dollars because IRR changes are not additive.

1 When the tax lands: LP tax by year



Same LP amounts as the bridge above, by calendar year. Exit year: losses released +\$347K, recapture (\$627K), capital gain (\$339K). A \$0 operating year is income sheltered by suspended \$469 losses (the loss bank below). The grey figure under a \$0 year is that year's suspended balance in loss dollars, not tax, and is not plotted on the axis above. The cumulative line ends at (\$618K), the after-tax less pre-tax LP profit.

1 The suspended passive loss bank (\$469): why operating tax stays at \$0 until exit



2 COST SEGREGATION: SCREENING ESTIMATE

FAVORABLE

Short-life eligible basis (55% assumption)

Modeled passive LP, §469 applied: PV @ 8% of after-tax LP cash flow, cost segregation less straight-line

Study-fee breakeven, passive LP, §469 applied (LP gain + 71.4% LP share of contributed equity)

For comparison, breakeven for a real estate professional, losses used currently

\$1.733M

\$31.2K

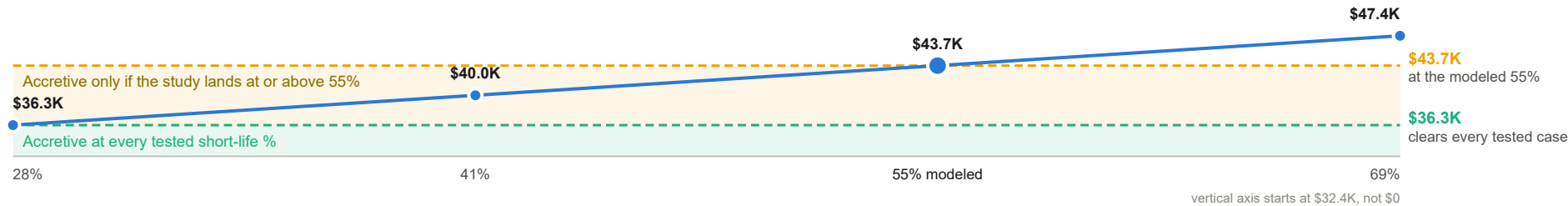
\$43.7K

\$212K

This deal models the LP as a **passive** investor, so §469 suspends the first-year loss: it shelters the deal's own later income and the balance frees at exit, while the reclassified basis still recaptures at ordinary rates. Re-running this deal on both depreciation methods, after-tax LP IRR is 19.30% with cost segregation against 18.57% on straight-line, and after-tax LP profit differs by \$16K in nominal dollars. A real estate professional who can use the losses currently measures 25.35% against 19.28%, the comparison breakeven above. That comparison requires material participation, which a limited partner generally cannot establish (§469(h)(2); Temp. Reg. §1.469-5T(e)); it also models no 3.8% net investment income tax. An LP with passive income from other activities could use these losses sooner, so its breakeven would be higher than the passive figure here.

Get a fixed-fee quote before engaging: across the short-life range charted below the breakeven bottoms at **\$36.3K**, so only a fee under that clears every case. It ignores any tax deduction for the fee itself.

Study-fee breakeven by short-life % assumption



Basis of estimate

- The short-life % is a rule-of-thumb assumption applied to the client-supplied building basis (excluding land). It is **not** an engineering cost segregation study.
- Each breakeven re-runs this deal's full model twice, on cost segregation and on straight-line, with §469 applied to a passive partner and §1245 recapture at ordinary rates at exit.
- The after-tax LP cash flow difference is discounted at 8%, then grossed up to a deal-level fee by the LP share of contributed equity.
- In a manufactured housing community most of the short-life basis is 15-year land improvements (roads and paving, pads and grading, water, sewer and electric lines) plus any 5- and 7-year personal property, all bonus-eligible; park-owned homes, if any, need their own classification. The remaining basis (community buildings and other structures) is modeled as 27.5-year real property.
- All depreciation on reclassified basis is assumed recaptured as §1245 ordinary income at exit. Section 3 notes where that overstates the tax.
- Actual eligible basis, benefit and recapture depend entirely on a property-specific study and the client's facts. Use as a screening threshold only.

Relationship to the rest of this report: Section 1 is the cost segregation case and the §1245 recapture in Section 3 is the study's exit cost. The threshold above is the study fee that substantiates it.

3 EXIT TAX MAP: WHOLE DEAL, WITH LP SHARE

TAXABLE EXIT · 31.2% BLENDED ON GAIN

	§1245 recapture (ordinary)	Unrecaptured §1250 gain	§1231 capital gain (appreciation)	
Whole deal (all partners)	\$636K	\$242K	\$417K	\$1.295M
LP share	\$455K	\$173K	\$339K	\$966K

	Gain, whole deal	Rate	Tax, whole deal	LP share	LP tax
§1245 recapture (ordinary)	\$1.560M	40.8%	\$636K	71.4%	\$455K
Unrecaptured §1250 gain	\$840K	28.8%	\$242K	71.4%	\$173K
§1231 capital gain (appreciation)	\$1.750M	23.8%	\$417K	81.3%	\$339K
Total exit tax	\$4.149M		\$1.295M		\$966K

Whole deal = all partners. LP tax applies the LP share of contributed equity to recapture and the LP share of exit profit to capital gain, and foots to the recapture and capital gain steps in Section 1.

Basis of estimate: exit tax

- Rates are federal, so gain × rate reconciles to the tax shown. No state income tax is modeled for this deal. NIIT included where applicable.
- All depreciation on reclassified short-life property is assumed recaptured as §1245 ordinary income, which assumes the sale price allocated to those assets at least equals their original cost; a lower allocation moves that gain to §1250 and §1231 rates.
- Land improvement split applied: 85% of the short-life basis (\$1.473M) is modeled as 15-year land improvement, which is §1250 property, not §1245 personal property. Under §1250(b)(1) only the depreciation in excess of the 15-year straight-line equivalent for the holding period recaptures as ordinary income; the straight-line slice sits in the unrecaptured §1250 row above at the 28.8% rate. On this 5.0-year hold that straight-line slice is 33% of the land-improvement basis. In a manufactured housing community the pads, roads, site utilities and lighting are most of that basis.

3A CAPITAL ADDITIONS AND BASIS ROLL-FORWARD

Each row of the capital expenditure schedule is placed in service in the year it is spent, depreciated from that month to exit, and recaptured at exit according to its tax class. These amounts are already inside the adjusted basis and accumulated depreciation used in the exit map above.

Tax class	Additions	Depreciation to exit	Remaining basis at exit	Character at exit
§1245 short-life (5-year)	\$40K	\$40K	\$0	ordinary recapture in full
§1250 land improvement (15-year)	\$369K	\$369K	\$0	ordinary above 15-yr straight-line; rest 25%
§1250 building / structural	\$60K	\$4K	\$56K	unrecaptured §1250, 25% cap
Total capitalized	\$469K	\$413K	\$56K	

\$45K of the schedule is classified as §162 repairs: deducted in full in the year spent, so it adds no basis and recaptures nothing at exit. Deducted in full at the partnership level, that is: for a passive LP it joins the same \$469 pool as the depreciation above, and is worth nothing until a fully taxable sale releases the pool under §469(g).

Basis of estimate

- Capitalized rows depreciate straight-line from the placed-in-service month under the mid-month convention: 5 years for §1245 personal property, 15 years for §1250 land improvements, and the building's own recovery period for structural work.
- Straight-line, not the 200%/150% declining-balance MACRS tables, which would front-load the deduction slightly more.
- Bonus depreciation on the 5- and 15-year rows follows this deal's §168(k) election.
- Classification of any particular expenditure between repair and capital improvement is a facts-and-circumstances determination under the tangible property regulations (Reg. §1.263(a)-3), and must be confirmed with the return preparer of record.

4 1031 EXCHANGE VS. TAXABLE SALE

This projection models a fully taxable disposition. A qualifying 1031 like-kind exchange could defer **\$1.295M** of exit tax (**\$966K** LP share, detailed in Section 3) into replacement property rather than recognizing it at sale. In a syndication the exchange is the partnership's election, not an individual LP's. That strategy is not reflected in these figures and would be evaluated separately against the client's reinvestment plans.

	Taxable sale, as modeled	1031 exchange, not modeled
LP exit tax recognized at sale	\$966K	\$0, deferred into the replacement property
Less: §469 suspended losses released, LP tax value	(\$347K)	\$0, the balance carries forward instead
LP net tax at exit	\$618K	\$0

Basis of estimate: 1031 comparison

- Deferral, not forgiveness. The replacement property takes a carryover basis (§1031(d)), so the deferred gain comes back as lower depreciation over the new hold and a larger gain on the eventual taxable sale.
- The \$347K of §469 losses this projection releases at sale under §469(g) would not release in an exchange, which is why the net figure above is smaller than the headline deferral.
- Identification and closing deadlines (45 and 180 days, §1031(a)(3)) and the identity of the taxpayer that must acquire the replacement property govern whether any of this is available. Both are counsel questions, not modeling questions.

Prepared by Kasing Ng, CPA, California CPA License 139270. Basis of preparation. This projection was prepared for the named client using information the client supplied. All figures are estimates, not a filed return, an audit, or an engineering cost segregation study, and they will differ from actual results as facts, market conditions, and final tax positions develop. Rates reflect federal tax law in effect on 2026-09-18; bonus depreciation follows the method modeled for the placed-in-service date stated above. Depreciation, recapture, capital gains, and 1031 treatment are modeled at the asset level using the rates and assumptions stated on this report, not an individualized per-partner K-1 allocation. Scope. This is a non-attest quality-control review of the deal's tax posture, performed at the sponsor's request. It is not an audit, review, or compilation, and no assurance and no independence is asserted or implied. The preparer is not the signing return preparer and does not opine on the client's filed returns; final positions should be confirmed with the client's return preparer and legal counsel. Methodology. IRR is computed by monthly Newton-Raphson iteration (tolerance 1e-8) on the full cash-flow array, with no annual approximations, and every figure in this report can be reconciled to the deal inputs. Cedar Ridge MHP is a fictional composite, not a real property or client. Figures are illustrative only and are not tax advice. Freely shareable as a sample of CREDevSim's work product. Questions on any figure in this report go to Kasing Ng, CPA, kasing@credevsim.com (credevsim.com).